

Second Supplement to Confidential Private Placement Memorandum

EnCap Energy Capital Fund XII, L.P.

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May 15, 2023

The information set forth herein (the “**Supplement**”) supplements, modifies and amends the Confidential Private Placement Memorandum, dated February 28, 2023 (as amended, the “**Memorandum**”), of EnCap Energy Capital Fund XII, L.P. (the “**Partnership**”). Any statement contained in the Memorandum shall be deemed to be modified or superseded for all purposes to the extent that a statement contained herein modifies or supersedes such statement. This Supplement updates the Memorandum solely with respect to the information set forth herein and does not purport to provide a comprehensive update. All other information provided in the Memorandum is current as of the dates provided therein. Capitalized terms used but not defined in this Supplement are used as defined in the Memorandum.

In addition to the Memorandum and this Supplement, prospective investors should review the Partnership Agreement. Any prospective investor that has previously submitted a Subscription Agreement need not reconfirm its subscription.

I. UPDATED SUMMARY OF PRINCIPAL TERMS

The following replaces in its entirety the relevant sections of Section IX of the Memorandum titled “Summary of Principal Terms” (marked to show changes).

Drawdowns:

The General Partner will draw down Commitments as needed with not less than 10 business days’ prior written notice. Drawn down Commitments are referred to as “**Capital Contributions.**”

The initial drawdown for each Limited Partner will include such Limited Partner’s proportionate share of: (a) Management Fees retroactive to the Initial Closing or the date of the first investment, as applicable; (b) organizational and other expenses attributable to the Partnership; and (c) the original cost of any Portfolio Company investment made at or prior to such drawdown. In addition, Limited Partners admitted after the Initial Closing (“**Additional Limited Partners**”) will be required to pay to the Partnership: (i) interest at the prime rate on Management Fees retroactive to the initial funding date or the date of the first investment, as applicable; (ii) interest at the rate of 8% per annum on their proportionate share of organizational and other expenses attributable to the Partnership from the date Capital Contributions were payable by the Limited Partners that made Capital Contributions prior to the admission of the Additional Limited Partner in respect of such expenses to the date of payment of such Additional Limited Partner’s first Capital Contribution; and (iii) interest at the rate of 8% per annum on their proportionate share of the original cost of any Portfolio Company investment made prior to such drawdown from the date Capital Contributions were payable by the Limited Partners that made Capital Contributions prior to the admission of the Additional Limited Partner to fund such investment to the date of payment of such Additional Limited Partner’s first Capital Contribution. Any amounts paid to the Partnership under (a) and (i) above will be paid to the Manager or prior Investor Limited Partners, as applicable. Any amounts paid to the Partnership under (ii) and (iii) above will be distributed to the Limited Partners that participated in prior closings. Any amounts paid to the Partnership under (b) and (c) above will be applied to future capital calls or distributed to the Partners that made Capital Contributions prior to the admission of the Additional Limited Partner and increase those Partners’ unpaid Commitments and decrease those Partners’ Capital Contributions.

Any drawdown for an investment not consummated by the Partnership or in excess of the amount needed to consummate such investment will be returned to the Limited Partners within ~~90~~75 days after the date on which such drawdown is due. Any such returned drawdown will be added to unpaid Commitments and will be subject to recall by the Partnership thereafter.

Diversification and Other Investment Limitations:

The Partnership will not invest more than ~~20~~15% (or with the prior approval of the LPAC, 25%) of aggregate Commitments in any single Portfolio Company.

The Partnership will not, without the prior approval of the LPAC, (a) invest more than 15% of aggregate Commitments outside North America and, separately, (b) invest more than 15% of aggregate Commitments outside the Investment Focus described above, so long as such investments are related to

the energy industry, or (c) call capital in excess of 45% of the total Commitments in any twelve-month period.

Prior to the Final Closing, for purposes of compliance with the investment restrictions set forth above and other similar limitations in the Partnership Agreement, aggregate Commitments will be deemed to be the greater of actual aggregate Commitments and \$4 billion, in each case, immediately following the relevant investment.

Borrowings:

The General Partner and the Partnership may incur leverage within the following limitations.

The General Partner and the Partnership may borrow to bridge capital calls. The maturity date of each borrowing will not be more than 90 days from the date of borrowing, unless approved by the LPAC. The aggregate principal amount of such borrowings outstanding at any time will not exceed \$400,000,000.

**Limited Partner
Advisory
Committee:**

The General Partner will establish an advisory committee composed of selected representatives of Limited Partners (exclusive of the Related Limited Partners) (the “LPAC”) which after the Final Closing shall consist of at least five but no more than eleven individuals. ~~The LPAC will advise the General Partner regarding conflicts of interest and such other issues or matters as the General Partner may bring before the LPAC or as may be contemplated by the Partnership Agreement.~~

Members of the LPAC will serve without compensation, although the Partnership will reimburse the members for all reasonable out-of-pocket expenses incurred by them in attending meetings and otherwise as a result of their service on the LPAC. Members of the LPAC will also be entitled to the benefit of certain indemnification and exculpation provisions set forth in the Partnership Agreement.

Any action to be taken by the LPAC will be authorized by a majority of its members then holding office, exclusive of any member abstaining or recusing himself or herself from a vote on such action.

~~Approval by the LPAC of any conflict or potential conflicts will constitute the approval of the Partnership and the Limited Partners.~~

Management Fee:

The Partnership will pay the Manager an annual management fee (the “**Management Fee**”) with respect to each Investor Limited Partner at the following rate, as selected by such Investor Limited Partner in its subscription documents:

For Investor Limited Partners admitted at, or within 60 days of, the Initial Closing:

- During the Commitment Period, 1.75% of its Base Amount, and after the Commitment Period, 1.5% of its Base Amount.

OR

- During the Commitment Period, 1.4% of its Commitment, and after the Commitment Period, 1.4% of its Base Amount.

For Investor Limited Partners admitted thereafter:

- During the Commitment Period, 2% of its Base Amount, and after the Commitment Period, 1.5% of its Base Amount.

OR

- During the Commitment Period, 1.5% of its Commitment, and after the Commitment Period, 1.5% of its Base Amount.

“**Base Amount**” with respect to any Investor Limited Partner means the aggregate amount of its Capital Contributions with respect to investments that have not been sold, as reduced by any permanent write-downs or write-offs.

The Management Fee will be payable quarterly in advance and will be reduced by certain fees earned by the Manager as discussed in “Director’s Fees” below.

The Management Fee will commence as of the date of the Initial Closing or the date of the first investment, as applicable, regardless of when an Investor Limited Partner is actually admitted, and no further Management Fees will be due after the 10th anniversary of the Initial Closing. Investor Limited Partners participating in a subsequent closing will be assessed Management Fees retroactive to such date and will be charged interest on such amounts from such date at the prime rate. Any such amounts will be paid to the Manager or prior Investor Limited Partners, as applicable.

Director’s Fees:

Any director’s or other similar fees (whether in cash or equity) paid by a Portfolio Company to any employee of the Manager will be transferred by the applicable individual, net of taxes, to the Manager and credited against Management Fees. To the extent such reduction of Management Fees is not sufficient, the remaining amount will be distributed to the Investor Limited Partners.

Key Person and Other Events:

If one Key Person ceases to be involved in the day to day operations of EnCap, the remaining Key Person shall appoint one or more of Kyle M. Kafka, Brad A. Thielemann or another person approved by the LPAC as successor Key Persons ~~among the partners of EnCap~~ at such time. If the remaining Key Person fails to make such appointment within 180 days, or if both Key Persons cease to be involved in the day to day operations of EnCap, the Partnership’s ability to make new investments during the Commitment Period will be limited (a “**Suspension Event**”), although these limitations may be removed upon the affirmative vote of a majority in interest of the Investor Limited Partners. If as a result of any such appointment there are more than two Key Persons, a Suspension Event shall only occur if there are not at least two Key Persons involved in the day to day operations of EnCap.

In addition, upon the occurrence of certain other events specified in the Partnership Agreement, including (a) a “cause” event (as defined in the Partnership Agreement) or (b) the vote of those Investor Limited Partners whose aggregate LP Percentages equal or exceed 75%, the Partnership’s ability to make new investments during the Commitment Period will be limited, although these limitations may be removed under certain circumstances as provided in the Partnership Agreement.

**Organizational and
Offering Expenses:**

The Partnership will bear all fees, costs, and expenses associated with the formation of the Partnership and the offering and sale of limited partnership (or other) Interests therein, including all legal, accounting, printing, mailing, and courier fees and expenses, filing fees, and travel (which may include coach and first class airfare, hotel, and meal expenses) and other start-up costs and expenses up to an amount not to exceed \$43.5 million. Organizational expenses in excess of this amount, if any, will be borne by the Manager directly. Any fees and costs associated with any placement agent engaged by the Partnership, the General Partner, the Manager, or their affiliates in connection with the formation of the Partnership (“**Placement Fees**”) will be paid or reimbursed by the Partnership, provided that such Placement Fees shall be borne by the Manager through a 100% offset against the Management Fee for Investor Limited Partners ~~and a payment from the Manager for Related Limited Partners~~ with respect to their portion of the Placement Fees. For purposes of the foregoing, organizational expenses will not include any Placement Fees.

Other Expenses:

The Partnership will pay (and each Limited Partner will bear its allocable share of) all direct, out-of-pocket costs and expenses relating to the management, conduct and operation of the Partnership’s and feeder fund business (“**Operating Expenses**”), including (a) fees, costs, and expenses associated with the preparation of the Partnership’s financial statements and the reports and other information, tax returns, and Schedules K-1 and the distribution of same to the Limited Partners; (b) communication expenses, including printing and mailing and courier expenses, as well as a reasonably allocable portion of the cost of any software or online data portal utilized in connection therewith or with reporting; (c) fees, costs, and expenses of establishing bank or custodial accounts; (d) insurance costs and expenses (including a reasonably allocable portion of premium or expenses for professional liability insurance coverage for the Partnership, including the LPAC, the General Partner, the Manager and the managers, members and partners of the General Partner and the Manager); (e) fees, costs, and expenses incurred in connection with researching, sourcing, investigating, structuring, negotiating, acquiring, holding, restructuring, selling, disposing, or exchanging of Portfolio Companies (including fees and expenses of lawyers, accountants, consultants, brokerage or finder’s fees, investment banker’s fees, commitment fees, underwriting discounts or sales fees, and travel expenses (which may include hotel expenses and meal expenses) but excluding entertainment expenses, which entertainment expenses shall be borne by the General Partner or one of its affiliates and not the Partnership); (f) fees, costs, and expenses of the type described in clause (e) above incurred in connection with potential or proposed but unconsummated transactions (including fees, costs, and expenses that would have been allocable to co-investors had such proposed transaction been consummated, if the amount allocable to such co-investors is not paid by such parties); (g) fees, costs, and expenses of depository, custodial, trustee, paying agent, record-keeping, and administrative services (including those incurred in connection with the preparation and circulation of call notices and distribution notices); (h) legal, audit, and other expenses incurred in connection with the registration of the offer and sale of securities owned by the Partnership under the Securities Act, and any applicable state or foreign securities laws, and the filing of any statement, form, or report by the Partnership in connection with its status as a venture capital fund or other private fund under the Investment Advisers Act of 1940, as amended; (i) the costs and

other amounts attributable to the Partnership's indemnification obligations; (j) the costs and expenses attributable to the LPAC and the conduct of its meetings or attributable to the annual meetings of the Partners; (k) any taxes, fees, or other governmental charges imposed on or assessed against the Partnership other than Investor-Related Taxes (as defined in the Partnership Agreement) withheld from distributions made to or paid by a Partner pursuant to the relevant Partnership Agreement; (l) fees and expenses incurred by any Partnership Representative (as defined below) or in connection with any tax filing, audit, investigation, settlement, or review of the Partnership; (m) fees, costs, and expenses in connection with legal or regulatory compliance (including tax compliance and reporting with U.S. federal, state, local, non-U.S., or other laws and regulations) relating to the Partnership's activities; (n) fees, costs, and expenses relating to a defaulting Partner; (o) fees, costs, and expenses incurred in connection with the purchase, sale, assignment, pledge, or transfer of a Limited Partner's interest in the Partnership or the withdrawal of a Limited Partner (except to the extent allocable to or payable by, and actually borne and paid by, the applicable purchaser or Limited Partner, assignee, pledgee, or transferee, as applicable); (p) fees, costs and expenses incurred in connection with winding up and liquidating the Partnership or any investment vehicle formed by or for the benefit of the Partnership, including the costs and expenses of preserving and maintaining documents or other records required to be retained for tax or other legal or regulatory reasons; (q) fees, costs, and expenses incurred in connection with winding up and liquidating a Portfolio Company and subsidiaries or other affiliates thereof, including the costs and expenses of preserving and maintaining documents or other records required to be retained for tax or other legal or regulatory reasons; (r) fees, costs, and expenses incurred in connection with administering or complying with any Side Letter (as defined below); (s) fees, costs, and expenses incurred in connection with the collection of any amounts due to the Partnership from any person; (t) fees, costs, and expenses incurred in connection with any restructuring or amendments to the constituent documents of the Partnership and related entities; (u) fees, costs, and expenses relating to anti-money laundering or "know your customer" compliance, tax diligence expenses, or related matters; (v) expenses incurred in connection with any subscription facility; and (w) other extraordinary, nonrecurring expenses, including the costs and expenses of prosecuting or defending a litigation claim.

For purposes of clarity, Operating Expenses shall not include any of the following costs and expenses of the Manager or any of its affiliates (which costs and expenses shall be borne by the Manager or such affiliates for its or their own accounts): (i) the salaries, wages, and employee benefits of all officers, directors, and employees of the General Partner or an affiliate thereof, (ii) office rent, utility charges, and equipment and furniture costs and expenses, (iii) any other general, administrative, and overhead expense, and (iv) any expenses associated with registering or reporting as an investment adviser by the Manager or EnCap under the Investment Advisers Act of 1940, as amended, or any similar law.

Any Operating Expenses attributable solely to a feeder fund or "blocker" corporation shall be allocated as the General Partner may reasonably determine, including withholding such amount from distributions to feeder fund investors, advancing such amount and then subsequently withholding such amount from

**Warehoused
Investments:**

distributions to feeder fund investors or requiring feeder fund investors to pay such amount outside of their commitment to the feeder fund.

~~In certain instances, including with respect to Double Eagle~~Until the date that is 120 days following the Final Closing (for investment identified prior to the Final Closing), as further described in ~~Section VIII – “Selected Transaction Summaries”~~XII – “Warehoused Investments”, EnCap Energy Capital Fund X, L.P., a Delaware limited partnership (“**Fund X**”) and/or EnCap Energy Capital Fund XI, L.P., a Delaware limited partnership (“**Fund XI**”), may commit capital to a prospective Portfolio Company in an amount equal to its contemplated commitment plus the contemplated commitment of the Partnership; in such event, promptly after the initial closing of the Partnership, Fund X and/or Fund XI will assign that portion of its interest in such Portfolio Company attributable to the Partnership’s contemplated commitment and the Partnership will reimburse Fund X and/or Fund XI for any capital actually contributed to such Portfolio Company by Fund X and/or Fund XI and any related fees and expenses incurred by Fund X and/or Fund XI, in each case attributable to such assigned interest, plus interest on such amount from the date of such contribution through the date of assignment at a rate of 8% per annum.

II. WAREHOUSED INVESTMENTS

The following is added as a new Section XII of the Memorandum titled “Warehoused Investments.”

The following transaction summaries describe certain investments that Fund XII is anticipated to purchase from other EnCap Upstream Funds following the initial closing of Fund XII.

Double Eagle IV
(Warehoused Fund XII Investment)

Company Description:

Double Eagle Energy IV (“**Double Eagle**”) is a privately held, Fort Worth-based independent upstream company led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management plans to use its operating expertise to develop the assets and create a sizable cash flowing business that will be attractive to buyers in any market environment.

Since 2013, the Double Eagle team has invested a total of approximately \$2.4 billion of capital in multiple basins and varying market conditions and has realized about \$10.0 billion of asset sales. The team’s most recent successful exit occurred in April 2021 when the team sold an attractive Midland Basin platform to Pioneer Natural Resources (NYSE: PXD) for \$6.4 billion.

Transaction Summary:

Double Eagle was initially capitalized with a \$1.1 billion common equity commitment, which includes \$1.0 billion from Fund XI and \$100 million from management. For up to 90 days after closing, EnCap allowed management to raise up to \$100 million in commitments from friends and family, which would reduce Fund XI’s commitment on a dollar-for-dollar basis. Any additional commitments from friends and family would be added to the total commitment amount, with a maximum expansion of \$50 million.

In Q2 2022, Double Eagle closed on additional commitments, raising the total commitment to \$1.15 billion. This includes \$900 million from Fund XI, \$154 million from other friends and family, and \$100 million from management. The investment is structured in the form of common equity, with Fund XI receiving a proportionate share of distributions until an 8% IRR is achieved. EnCap holds a majority position on the Board of Managers.

Given the robust opportunity set that Double Eagle has continued to identify, EnCap expects to expand its total commitment to Double Eagle by 50% (\$450 million net to Fund XI). Due to the capital constraints of Fund XI, the commitment expansion will be transferred to Fund XII upon first close, and this proposal was approved by the Fund XI LPAC in December 2022.

Investment Rationale:

- Management’s significant capital commitment enhances alignment with EnCap
- Gives Fund XII exposure to a management team with a long and impressive track record across multiple major resource plays and industry cycles
- Senior management members are highly regarded and bring a differentiated skillset related to capture and asset development
- Focus is on the most economic areas of the Permian and gives EnCap an opportunity to develop a premier Permian operating platform

Investment Performance:

As of March 31, 2023, Double Eagle has closed on over 30,000 net acres in the Permian Basin and expects to close on more than 6,000 additional net acres over the next several months. The company has initiated development on the assets it has captured and is currently running a four-rig development program, with plans to add a fifth rig in the coming months. The company is actively evaluating acquisition opportunities in the Permian Basin where the team has prior experience and/or believes to have a competitive advantage.

Grayson Mill Energy III, LLC
(Warehoused Fund XII Investment)

Company Description:

Grayson Mill Energy III (“Grayson Mill III”) is a privately held, Houston-based independent upstream company led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum, where he managed the entirety of the company’s operations team in the Bakken. Management also leads Grayson Mill Energy II, which is a separate and distinct entity with a significant asset base in the Bakken. In EnCap’s view, the Grayson Mill team has a proven track record of operational and commercial success.

Transaction Summary:

Grayson Mill III was formed in April 2023, and EnCap expects to capitalize this entity with a \$920 million total commitment including \$400 million from Fund XII, \$300 million from co-investors, \$133 million from Fund XI, \$67 million from Fund X, and \$20 million from the Grayson Mill management team. The investment will be structured in the form of common equity, with Fund XII, co-investors, Fund XI, and Fund X receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Investment Rationale:

- Continuation of Grayson Mill’s acquire and develop strategy in the Bakken, where the team has created significant value through development, operational improvements, and business development efforts
- Strong technical and data-driven approach that is key to asset capture and efficient operations
- Team’s ability to attract top industry talent and be long-term partners with EnCap
- EnCap controls the Board and will approve all major decisions

Investment Performance:

- In April 2023, Grayson Mill III announced an agreement to acquire Bakken assets from Ovintiv, Inc. for \$825 million. The acquisition price is substantially underpinned by hard value (PDP + DUC PV10 value) and equates to an estimated transaction multiple of less than 2.0x 2023E EBITDA. The properties are expected to produce approximately 34 MBoe/d (approximately 50% oil and approximately 80% liquids) in 2023 and include a significant inventory of economic development and refrac opportunities to create value. The company placed meaningful oil hedges after signing to help protect the investment’s downside.
- At signing, Fund XI and Fund X together provided an approximate \$41 million deposit. The transaction is expected to close in June 2023. Prior to closing, EnCap will formalize the equity commitment and overall capitalization of Grayson Mill III, at which time Fund XII and the co-investors will true up with Fund XI and Fund X for the deposit. After closing, the company is expected to have significant dry powder remaining to pursue additional growth opportunities in the Bakken. Overall, EnCap believes this investment is well positioned for success with a strong management team to execute.